

March 3, 2016

Hon. Maria Pallante  
Register of Copyrights  
United States Copyright Office  
101 Independence Ave., S.E.  
Washington, D.C. 20559

Re: **Section 1201 Study**  
**Docket No. 2015-8**

Dear Ms. Pallante:

Microsoft Corporation submits these Initial Comments in response to the Copyright Office's Section 1201 Study: Notice and Request for Public Comment, 80 Fed. Reg. 81,369 (Dec. 29, 2015) ("Notice").

### **Background and Interest in the Notice**

Microsoft appreciates the opportunity to provide comments in the Copyright Office's study of Section 1201. Section 1201 provides an important legal foundation on which copyright owners and innovators have built new technological means that have greatly increased the ways in which copyrighted works are made available, and resulted in an explosion of competitive and compelling business models that greatly expand consumer choice.

Over the same period, the rapid pace of innovation has produced unprecedented new devices, online services, and tools for consumers to access, use, and share copyrighted works. The pace of innovation has made the safeguards and processes set out in Section 1201 as important today as when first enacted.

As with all of copyright law, balance is the key for Section 1201 to satisfy the needs of copyright owners, innovators, and consumers, and Microsoft remains committed to ensuring that Section 1201 remains appropriately balanced for all impacted parties. This means not only providing copyright owners with effective means to protect their copyrighted works using technological protection measures (TPMs), but also ensuring that

users seeking to access and use works for legitimate purposes are not unfairly burdened or frustrated.

Microsoft appreciates the important role Section 1201 plays for all stakeholders. Indeed, we experience Section 1201 through a range of stakeholder perspectives:

- **As a copyright owner**, TPMs help Microsoft protect the copyright to some of the world's most successful (and unfortunately, most pirated) software products in history, including Windows and Microsoft Office.
- **As a platform for copyrighted works**, TPMs play a key role for the tens of thousands of (i) software developers and publishers who distribute their apps and games via Microsoft's online Windows Store for use on hundreds of millions of PCs, tablets and mobile devices; and (ii) motion picture, music, and video game copyright owners whose works are used on Xbox video game consoles and distributed via Xbox Live online platforms.
- **As a device and platform provider**, a balanced application of Section 1201 ensures that Microsoft's operating systems can continue to provide both Microsoft and its users with innovative ways to access, explore, and experience a wide range of copyrighted works on a diverse range of both Microsoft and third party devices – from traditional PCs and tablets, phones, wearables, and large touch displays, to Microsoft's groundbreaking HoloLens augmented reality device.
- **As a creator of tools for users** (including software, productivity tools, web browsers, and related online services), Section 1201 impacts the ways Microsoft customers access, consume, and create materials that may contain copyrighted works subject to technical protection measures. These tools also enable users to remix, annotate, store, and share such materials for innumerable legitimate purposes.

These diverse roles inform and guide Microsoft's regular and active participation in the Section 1201 triennial rulemaking process and in policy discussions convened by the Office, Executive Branch agencies, and Congress.

### **1201 Enables Innovative Software and Digital Content Distribution**

As outlined in Microsoft's submission in the Copyright Office's "Software-Enabled Consumer Products Study," we are in the midst of a transformational new generation of hardware and software innovation. Online entertainment services such as Xbox Live have

revolutionized how users access and use copyrighted works including games, television programming, film, and music content.<sup>1</sup> Similarly, online software and service platforms, including Microsoft's Store and Office 365, have upended traditional software distribution and use models, resulting in unprecedented access to billions of users for millions of copyrighted works.<sup>2</sup>

The protections in Section 1201 for TPMs provide an important building block for copyright owners to enable distribution of works in such innovative ways. TPMs not only help prevent infringement of these works: they also enable copyright owners and online platforms to develop and deploy diverse business models, including pay-per-download, trials, subscription, rental, ad supported, and even "freemium" models which derive value by monetizing data generated from users.

These business models greatly expand the choice of consumers in the means through which they enjoy copyrighted works, and they promote growth in the availability of legitimate distribution channels. TPMs also enable users to increasingly enjoy licensed copyrighted works across their various personal hardware devices, negating the need to managing multiple (and often redundant) copies, and enhancing the portability of a users' lawfully acquired content. The availability of these legitimate channels and the diversity of consumption choices play critical roles in combatting the growth of illegitimate sources for copyrighted works.<sup>3</sup>

At the same time, the triennial 1201 rulemaking process provides an important role in addressing legitimate concerns regarding access to copyrighted works for noninfringing purposes. The growth in both the number and range of exemptions granted, as represented in the 2015 rulemaking, is a clear sign that the process is achieving the purposes that Congress intended, and is sufficiently flexible to ensure the availability of

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<sup>1</sup> See <http://www.xbox.com/en-US/xbox-store> (Xbox Store enables video content from Netflix, Amazon Video, HBO GO, hulu, ESPN, plus games and music).

<sup>2</sup> See e.g. <https://blogs.windows.com/buildingapps/2016/02/04/windows-store-trends-february-2016/> (Windows Store enjoyed 3 billion visits since July 29, 2015) (last accessed March 2, 2016); <http://www.bloomberg.com/news/articles/2016-02-10/cheap-smartphones-to-propel-app-spending-past-100-billion> (Combined annual app downloads exceeded 111 billion in 2015)( last accessed March 2, 2016).

<sup>3</sup> See e.g. National Bureau of Economic Research Working Paper No. 21653, October 2015, available at <http://www.nber.org/papers/w21653> ("Consistent with the existing literature, our analysis also shows that Spotify displaces music piracy") (last accessed March 2, 2016).

appropriate exemptions to accommodate advancements in technology and new, noninfringing uses of works. Accordingly, we focus our comments below on areas where improvements to the rulemaking process would help insure that Section 1201 continues to serve its dual purpose to foster the growth of the digital marketplace by ensuring adequate legal protections for copyrighted works.<sup>4</sup>

### **How 1201 Can Accommodate Important Interests outside of Core Copyright Concerns**

Question two of the Notice asks how Section 1201 should “accommodate interests that are outside of core copyright concerns.”<sup>5</sup> Section 1201(a)(1)(C) directs the Copyright Office, in evaluating proposed exemptions, to consider certain issues that are core to copyright (*e.g.*, factors associated with the fair use exception in Section 107). Similarly, Section 1201(a)(1)(B) requires the Copyright Office to grant exemptions only to the extent the prohibition adversely affects users’ ability to make noninfringing uses of works.

As the 2015 rulemaking demonstrated, in some limited instances, factors outside core copyright concerns may be relevant to the fair use determination and assessments as to whether certain activity should reasonably be considered to be noninfringing. Such considerations ultimately may help to shape the scope of a permitted exemption, as several of the exemptions established by the Librarian in the most recent rulemaking demonstrate.<sup>6</sup> The statute contemplates consideration of other — potentially non-copyright — information, as it directs the Librarian to examine “such other factors as the Librarian considers appropriate.”<sup>7</sup>

Microsoft believes that the current statutory structure of Section 1201 accommodates these essential policy inputs. In those rare cases where a TPM adversely affects consumers’ ability to access copyrighted works for non-infringing uses, and where such

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<sup>4</sup> See H.R. Rep. No. 105-551, pt. 2, at 23 (1998).

<sup>5</sup> See 80 Fed. Reg. at 81373.

<sup>6</sup> See *Final Rule: Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies*, 80 Fed. Reg. 65944 (Oct. 28, 2015) (granting narrowly tailored exemptions notwithstanding the broader requested exemptions, *inter alia*, for software used in motorized vehicles for purposes of diagnosis and repair, and for identifying security flaws in software).

<sup>7</sup> Section 1201(a)(1)(C)(v).

access is necessary to promote other vital interests, Section 1201 rulemaking was intended to and does provide a critical “safety valve” to address these concerns.

In the case of software or software-enabled products, granting even a narrowly-scoped exemption may raise important issues, such as individual privacy, consumer safety, interoperability, and data security. In such cases, the Copyright Office should seek views and guidance from those federal agencies with jurisdiction over the regulatory and policy considerations at issue and with relevant substantive expertise. Input of responsible, expert agencies should be sought as early as possible in the rulemaking process to allow for full vetting of points raised. If necessary, however, the Office should consider adjusting the timing of any exemptions it does grant in order to take agency input into account—as it did when it recommended a 12-month delay in the effective date of certain newly adopted exemptions in the most recent rulemaking.

These and related steps are vital to ensure that the Copyright Office — whose expertise is in copyright law and practice — has the benefit of the perspectives of stakeholders and regulators in shaping its 1201 recommendations. As with all exemptions, the Copyright Office should ensure that any adjustments to the nature or scope of exemptions to address non-copyright policy considerations are appropriately scoped to enable only noninfringing uses of works and do not open the door to infringement or other illegal conduct.

### **Enhancements to Improve the Rulemaking Process**

Questions 3 through 5 of the Notice seek input on ways in which the process of the triennial rulemaking could be improved. As a general matter, Microsoft supports reasonable efforts to streamline and reduce the burdens of this process—for rights owners, for those advocating in support of recognition or renewal of an exemption, and for the Copyright Office. We applaud the Copyright Office for the creative ways in which it streamlined the process for identifying, categorizing, and obtaining feedback on proposed exemptions in the 2015 rulemaking. At the same time, given the importance of the issues at stake in these rulemakings, and the difficult factual and legal questions that many proposed exemptions have raised, we urge the Copyright Office to avoid actions that could weaken the integrity of the rulemaking process, the robustness of the Office’s recommendations, or that might lead to granting exemptions that are ill-considered or that do not in fact satisfy the requirements established by Congress.

With that in mind, we offer the following suggestions on how the rulemaking process might be improved:

- Streamline the process for renewal of previously granted exemptions, and separate these submissions from those seeking new exemptions. Where a particular use is already subject to an exemption, the prior record may be sufficient to satisfy the burden for renewal, and there may be less empirical evidence that users “are, or are likely to be,” adversely affected if the exemption is not renewed—precisely because users have had the benefit of the exemption for the past three years. To avoid imposing undue burdens on applicants for renewals, the Copyright Office should adopt reasonable procedural adjustments. This may include simplifying the process for interested parties to initially request or oppose renewal, requiring that submitters provide only a summary of reasons underlying a renewal, and not requiring a full submissions or hearings unless the renewal request receives an objection. In evaluating renewals which receive no objections, the Office also could provide that a proponent satisfies its burden if it either establishes that the conditions leading to the original granting of the exemption still exist, or that the need at issue is being substantially met because of the previously granted exemption.<sup>8</sup>
- For exemptions that merely expand the scope of an existing exemption, require evidence only to the extent relevant to the expansion. Where an applicant seeks to expand an existing exemption—e.g., to new works, new users, or new uses—the applicant must, consistent with the statutory language of Section 1201, meet its burden of establishing that users are, or are likely to be, adversely affected in their ability to make non-infringing uses of works by virtue of Section 1201(a)(1)(A). The Office should consider, consistent with the preceding recommendation, separating the expansion request from the renewal request, and require new evidence only to the extent of the expansion, and not with respect to the renewal of the earlier exemption (absent opposition to the renewal of the earlier exemption).
- Seek agency input and initiate inter-agency deliberations at an early point in the rulemaking process. As already noted, we believe the Copyright Office should proactively seek input from federal agencies with regulatory authority and substantive expertise that might bear upon the recommendation or scope of a proposed

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<sup>8</sup> Cf. U.S. Copyright Office, *Section 1201 Rulemaking: Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention* 14 (Oct. 2015), available at <http://copyright.gov/1201/2015/registers-recommendation.pdf>. A two stage process could likely be adopted by the Copyright Office in compliance with the APA and without change to Section 1201. Similarly, reference to supporting evidence submitted in prior rulemaking could be an “additional factor” suitable for the Librarian to consider in the next cycle. See Section 1201(a)(1)(C)(v).

exemption. The analysis, data and other evidence of expertise from these agencies can inform the Office's recommendations and increase stakeholder and public confidence in the outcome of the rulemaking process. To maximize the opportunities for the Office and the public to benefit from these agencies' expertise, we encourage the Office to adopt procedures designed to alert relevant agencies to proposed exemptions, seek guidance and views and, to the extent feasible, include agency representatives in hearings or other public discussions. Where more than one agency has relevant oversight or expertise, we encourage the Office to facilitate inter-agency consultation and dialogue as early in the process as possible.

### **Accessibility Exemptions**

Microsoft supports the use of exemptions to help ensure that persons with disabilities are able to enjoy the works they've lawfully acquired, but which may not be available in an accessible format. At Microsoft, our mission is to enable every person and organization on the planet to achieve more, including by making electronic information available to screen readers and other assistive technologies so that the information is available to persons with visual impairments or other print disabilities. In an information economy, access to information is a prerequisite to an inclusive workplace, classroom, or home environment. Microsoft believes that such exemptions strike an appropriate balance between protecting incentives for creativity and enabling persons who are disabled to access the works they've lawfully acquired.

In particular, Microsoft supports making permanent the authorized exemption that facilitates access to literary works by persons who have print disabilities.<sup>9</sup> The World Blind Union estimates that over 90 percent of published works are unavailable to people with print disabilities. Microsoft and other technology companies have taken some steps to facilitate the creation of accessible electronic content, but we know we need to do more.<sup>10</sup>

Even with the best technologies, however, it is imperative that copyright law not stand as an impediment to the creation of accessible content. While the triennial process is an appropriate mechanism for addressing particular exemptions directed at specifically

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<sup>9</sup> See Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies FR 65944,65962 (October 20, 2015)

<sup>10</sup> See <http://blogs.microsoft.com/on-the-issues/2015/12/03/uns-international-day-of-persons-with-disabilities-improving-access-and-inclusion/> (last accessed March 2, 2016)

identified needs, making these exemptions permanent recognizes that factors giving rise to the exemption persist beyond each triennial period.

Microsoft recognizes that more can be done to improve accessibility for copyright works. Accordingly, Microsoft welcomes the Copyright Office's leadership in convening stakeholders in relevant industries to participate in the goal of achieving additional progress on accessibility to copyrighted works.

Sincerely,



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